

11. Trade Because of Perceived Opportunity, Not Out of the Desire to Make Money

Toward the end of 2010, out of a desire to reach his minimum profit target for the year, Benedict took marginal trades he otherwise would not have taken. These trades resulted in net losses and, as a consequence, Benedict ended up even further from his intended target. Trading to make money is always a bad idea. Traders should only take a trade when the market provides an opportunity as defined by their own individual strategy.

12. The Importance of Doing Nothing

For some traders, the discipline and patience to do nothing when the environment is unfavorable or opportunities are lacking is a crucial element in their success. For example, despite making minimal use of short positions, Daly achieved cumulative gross returns in excess of 800 percent during a 12-year period when the broad equity markets were essentially flat. In part, he accomplished this feat by having the discipline to remain largely in cash during negative environments, which allowed him to sidestep large drawdowns during two major bear markets. The lesson is that if conditions are not right, or the return/risk is not sufficiently favorable, don't do anything. Beware of taking dubious trades out of impatience.